



“When crude prices go up, the demand for biodiesel goes up. With more biodiesel demand, less edible oil is available for human consumption”

SHRIKANT KANHERE
MD & CEO, AWL AGRI



“Ups and downs in profitability in the last few years have had an impact on the stock. AWL Agri’s profit plunged to ₹148 crore in FY24 before bouncing back to ₹1,266 crore in FY25”

KRANTHI BATHINI
EQUITY STRATEGIST,
WEALTHMILLS SECURITIES

Currently, about 30% of our rice business is export-driven, with a target of 50%,” says Kanhere.

To expand its staple foods portfolio, AWL acquired basmati rice brands Kohinoor and Charminar from US-based food company McCormick in 2022. “Kohinoor is a premium brand and does not directly compete with Fortune. Both operate in different markets. Kohinoor commands a bigger premium than Fortune and has its own market,” says Kanhere.

To expand the foods and FMCG business, AWL Agri is using cash flows from edible oil to support capital expenditure. Acquisitions are also accelerating the shift. “We are open to acquisitions, particu-

larly in the food segment, focusing on high-margin opportunities,” says Kanhere.

EXPANSION STRATEGY

The 2025 acquisition of GD Foods, the maker of Tops sauces and condiments, was part of its move to expand the high-margin business.

The company has been quick to ride the quick commerce bandwagon. “We are selling 5-6% of volumes via quick commerce,” says Kanhere. “Quick commerce and e-commerce together contribute about 10% to our volumes.” About 30% of its revenue comes from B2B.

AWL launched soaps under the Alife brand in 2019 as part of a forward integration strategy for oleochemicals. Today, Alife is a ₹100 crore brand. Getting into soaps is part of a strategy to extract everything possible from the value chain, says Kanhere. Wilmar’s India playbook is similar to what the Singapore-based group has achieved in China. Yihai Kerry Arawana Holdings Co, Ltd. (a subsidiary of Wilmar International) is China’s largest edible oil processing and consumer-pack cooking oil company. “Wilmar has got big plans for India. In India, they want to replicate what they have done in China. Wilmar is bullish on India. India is going to be the next consumption story for staples and food. Wilmar has tasted success in China. Its strategy remains the same—to extract everything from the value chain,” says Kanhere.

AWL uses its wide edible oil distribution network to push food and FMCG products. “The company is utilising its massive oil distribution network (which reaches over 2.6 million outlets) to push food products like Kohinoor rice, Fortune *besan*, and soya nuggets with minimal incremental logistics costs,” says Choksey.

STOCK UNDER PRESSURE

AWL Agri’s stock has been under pressure since the Adani Group decided to exit from its 50:50 joint venture with Wilmar in December 2024. “A major catalyst was the exit of the Adani Group in late 2024 and early 2025. Wilmar International became the sole promoter. This led to significant institutional rebalancing and block deals that put downward pressure on the stock,” says Choksey.

Margin compression has also weighed on the stock. “Despite growing revenue, profits have been erratic. High inventory costs and fluctuations in